IRR FUNCTION

The Internal Rate of Return (IRR) is a function that determines the return on investment. It measures the rate at which the present value of the investment is equal to zero. If the Internal Rate of Return is higher than the cost of capital, then the investment is profitable, else not worthwhile.

The IRR Function syntax is:

IRR(values,[guess]).

The values within this syntax are the cash flows, and the guess is an optional argument that is utilized to set the starting estimate for the internal rate of return.

The cash flow should include at least one negative and a positive value; otherwise, the IRR function will not give the correct result.

Using the illustration below, we can find the IRR from the data provided.